



NMG Investor Briefing

H1 2010 Financial Results

August 2, 2010

Media of Africa for Africa

Agenda

- H1 2010 Highlights
- Divisional Updates
- H1 2010 Financial Results
- FY 2010 Outlook
- Q&A





H1 Highlights

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- ❏ Overall good start to the year
- ❏ Kenyan CEOs most optimistic in EA – Business Leaders Confidence Index (Synovate, March 2010)
- ❏ 50th anniversary celebrations: successful PAMC
- ❏ Advertising revenue up – NND achieved highest ever revenue in March
- ❏ NTVU now no. 1 station in Uganda (Synovate)
- ❏ Easy FM the biggest Kenyan media on facebook with 100,000 fans!
- ❏ Proposed new media legislation in Uganda
- ❏ Newspapers In Education (NiE) launch in Kenya
- ❏ Lower newsprint prices but rising in H2
- ❏ Award-winning journalism on NTV: CNN Multichoice Awards
- ❏ Increased radio and TV footprint: Q FM & NTV in Kisii



Divisional Updates

Nation Newspapers Division

Advertising Revenue



20%

Total Revenue



14%



20%

Operating Profit



36%

- ❏ Draft Constitution: Keeping Kenyans informed ; Myths & Facts
- ❏ Continued with agenda-setting
- ❏ Continued commitment to investigative journalism
- ❏ NiE launched in Kenya in Coast, Eastern & North Eastern
- ❏ Circulation copies increased by 6%

The East African

Advertising Revenue



9%

Circulation Revenue



5%

Content of *TheEastAfrican* enhanced from November 2009

Improved variety has attracted new readers

TheEastAfrican

Business Daily

Circulation Revenue



10%

Advertising Revenue



30%

- New sections on IT –DigiLife magazine
- More SME content
- Top 40 under 40
- The Edge continued to lead business thought: Green Energy

BUSINESS DAILY

Easy FM

easyfm
number one for blues and r&b

www.easyfm.co.ke

easyfm is now upgraded with more music variety!



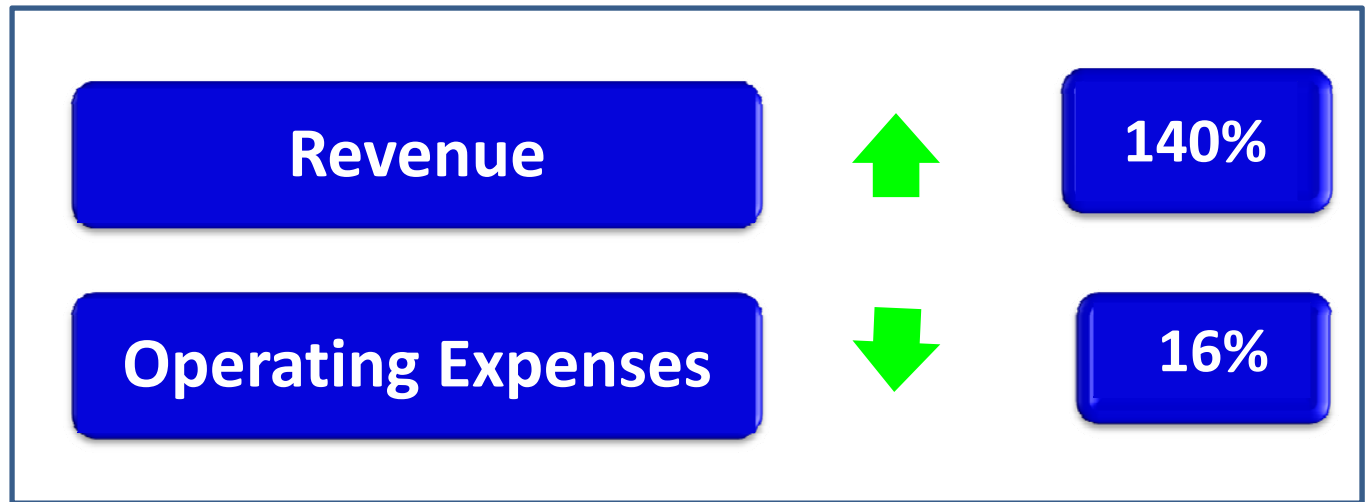
100% PURE RNB
OVER 15,000 SONGS
100% PURE RNB

... in fact even **Paul the Octopus** can't predict which song we're going to play next!

Nairobi 96.3 Mombasa 101.5 Kisumu 102.1 Nyeri 104.9 Eldoret 102.7 Nakuru 97.7 Meru 93.9

- New breakfast team: Munene, Ngatia & Angie
- New Drive team: The D.I. & Muthoni
- More music variety: over 20,000GB worth of music
- The Radio Star: Reality show

Q FM



- ❏ New transmission site in Kisii
- ❏ Strong growth in listenership
- ❏ Re-vamped breakfast show
- ❏ Sunday morning gospel show
- ❏ Saturday football show
- ❏ No. 2 Kiswahili station in key areas
- ❏ World Cup: Largest ever ticket treasure hunt in 7 Kenyan towns



K FM Uganda



➤ Strength of convergence with
print driving revenues



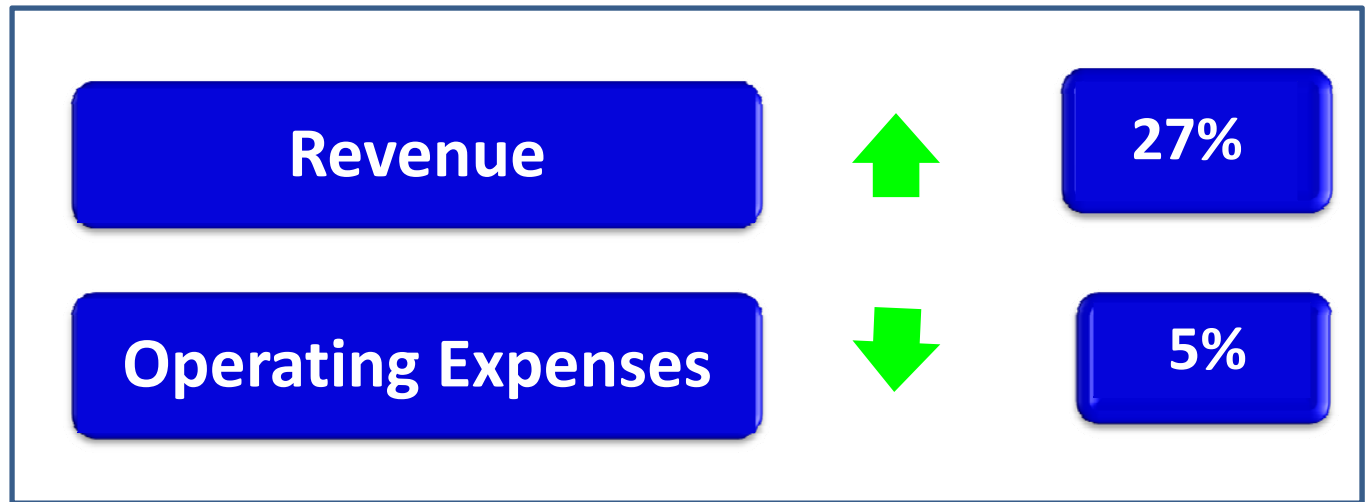
Better information best Music

Listen to your
pulse

ON AIR

**93.3
LIVE!**

NTV Kenya



- New programming: Soaps, local program (Higher Learning, Clinic Matters)
- New anchors
- Award-winning journalism: CNN Multichoice Awards



NTV Uganda



- NTV U most watched station in Uganda - Synovate
- Impressive results boosted by extended coverage following expansion especially to key markets such as Gulu



Monitor Publications Ltd

Circulation Revenue



5%

Direct Costs



3%

- Focus on Editorial quality and content
- Improved circulation through NiE
- Monitor awarded best business paper in Uganda award by CMA
- Digital revenue up 100%: innovation through mobile and

www.monitor.co.ug

**DAILY
MONITOR**
TRUTH EVERY DAY



Monitor
BUSINESS DIRECTORY
Unlocking Uganda



My
Wedding

Mwananchi Communications Ltd

Advertising Revenue



29%

Circulation Revenue



32%

Operating Profit



128%

■ New press fully operational – best print quality in Tanzania today

■ Increased circulation volumes

■ Higher colour capacity & better quality advertisements



Nation Digital

Online Advertising



48%

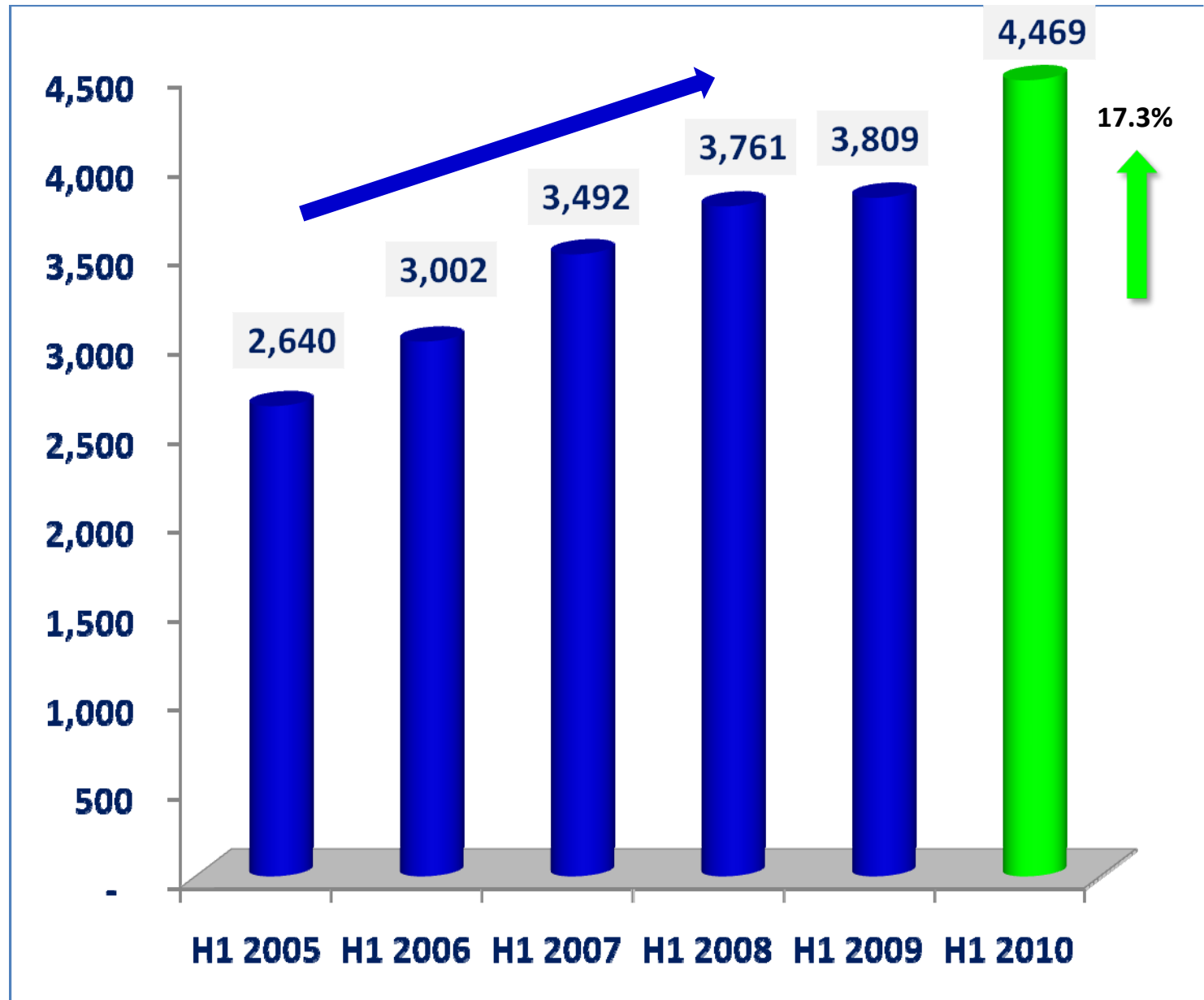
- www.nation.co.ke the leading local portal in East & Central Africa
- N-soko: preferred online classifieds
- Additional international expertise on board
- Wingo: First ever game show of its kind on Kenyan TV continues
- World Cup: Mobile football update application – live updates of matches as they went on, sms updates on your favorite team





H1 2010 Financial Results

Turnover Growth (Kshs M)



H1 2010 Strong Performance

4,469M

877M

2,770M

891.6M

Kshs 3.6

17.3%



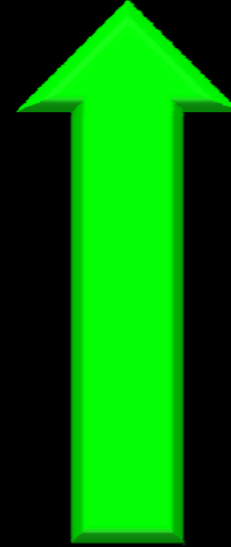
9.5%



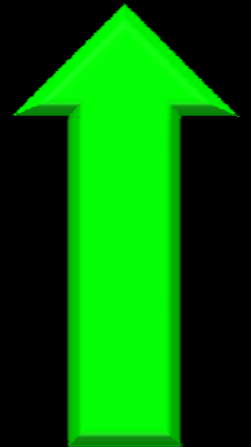
20.1%



51.6%



40%



Turnover

Cost of
Sales

Over-
heads

Profit
Before
Tax

EPS



H1 2010 Strong Performance

4,469M

3,577M

891.6M

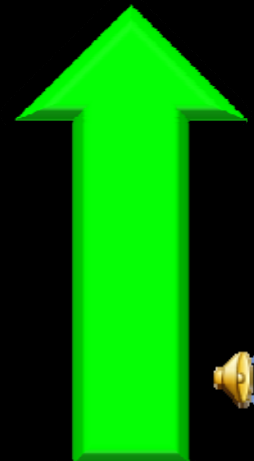
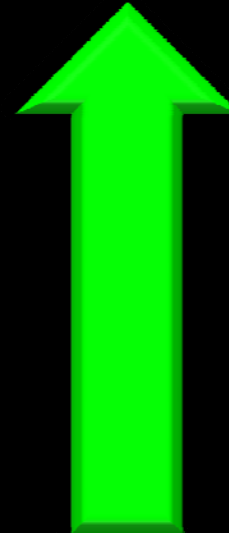
Kshs 3.6

17.3%

11.1%

51.6%

40%



Turnover

Total
Costs

Profit
Before
Tax

EPS

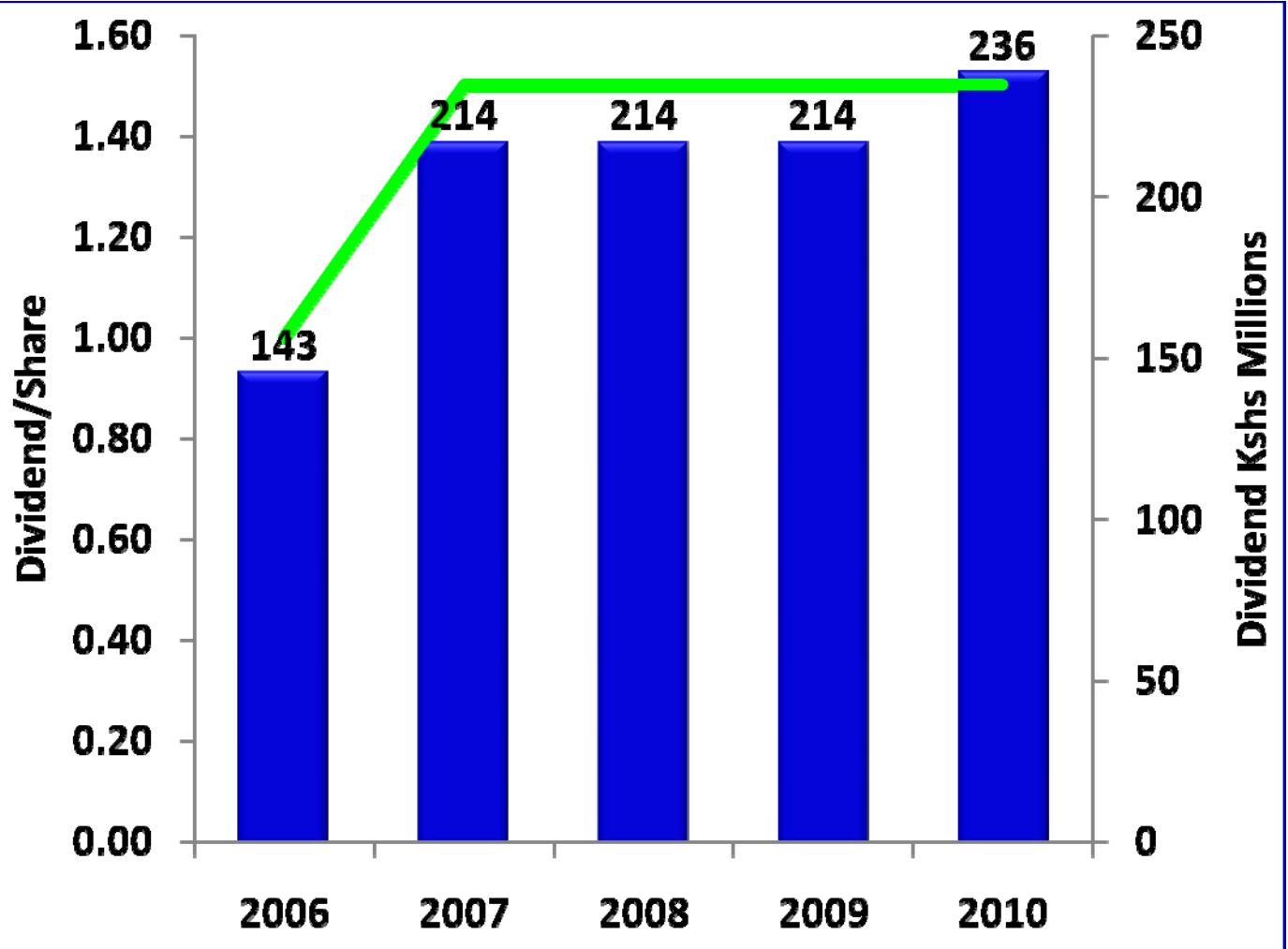
Profit and Loss Account (Kshs M)

	June 2010	June 2009	% Change
Turnover	4,469	3,809	17.3%
Profit Before Tax	891.6	588.2	51.6%
Tax Expense	(294)	(194)	(51.5)%
Profit Attributable to Shareholders	558.1	364.5	53.1%
Earnings per Share	3.6	2.6	40%

Underlying Performance (Kshs M)

	June 2010	June 2009	% Change
Turnover	4,468.7	3,809.3	17.3%
LESS: Discontinued Business (EAM/DM)	-	27.5	-
Turnover: Continuing Business	4,468.7	3,781.8	18.2%
Costs	3,577.1	3,221.1	(11.1)%
LESS: Discontinued Business (EAM/DM)	-	75.9	-
Costs: Continuing Business	3,577.1	3,145.2	(13.7)%
Profit Before Tax	891.6	588.2	51.6%
LESS: Discontinued Business (EAM/DM)	-	(48.3)	-
PBT: Continuing Business	891.6	636.6	40%

Interim Dividend (Kshs M)



- Interim dividends per share held constant at Kshs 1.50 from 2007 despite bonus issue
- 10% increase in cash payout

Consolidated Balance Sheet (Kshs M)

	June 2010	Dec. 2009
Capital & Reserves		
Share Capital	393	357
Retained Earnings	3,957	3,637
Other Reserves	49	82
Proposed Dividends	806	570
Non-current Liabilities	62	89
Total Equity & Non-current liabilities	5,333	4,803
Assets		
Non-current Assets	2,739	2,807
Working Capital		
Current Assets	4,809	3,766
Current Liabilities	2,215	1,769
Net Working Capital	2,594	1,996
Total Assets	5,333	4,803

Condensed Cash Flow Statement (Ksh M)

June 2010	
Cash Generated from Operations	1,477
Net Interest	43
Tax Paid	(266)
Net Cash from Operating Activities	1,254
Net Cash used in Investing Activities	(150)
Net Cash used in Financing Activities	(49)
Net Cash Movement	1,056
Cash: Jan. 2010	1,474
Cash: June 2010	2,529

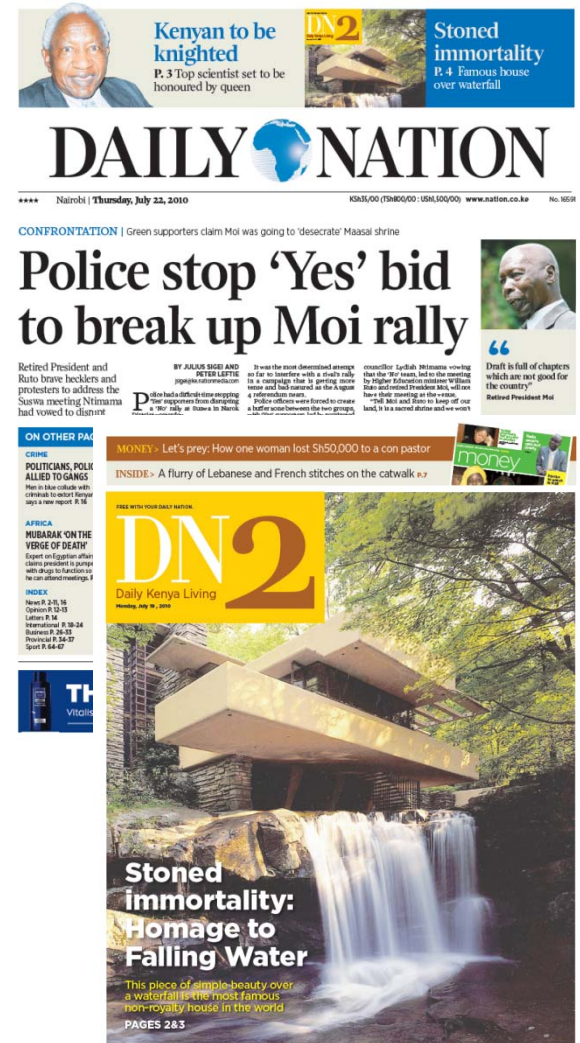
Cash up by 72%



2010 Outlook

DN Re-launch

- Increase in variety
- Innovation in advertising positions and shapes
- Positive initial response to translate into higher circulation and increased advertising



H2 Outlook

- Reap benefits of DN content improvement
- Cross –listing: Uganda, Rwanda, Tanzania
- New colour tower and major press refurbishment in Nairobi
- Global newsprint prices on the increase – expected to affect H2



H2 Outlook

- Refreshing of Citizen in Tanzania
- Monitor: Focus on distribution, marketing and content improvement
- QFM: Increased ratings from tapping into expanded reach
- NTV: Increasing local show offering
- eAfrica: aggressive sales strategy
- Digital: New products
- AfricaReview.com: authoritative one-stop portal on African affairs
- Group focus on innovation



Thank You

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